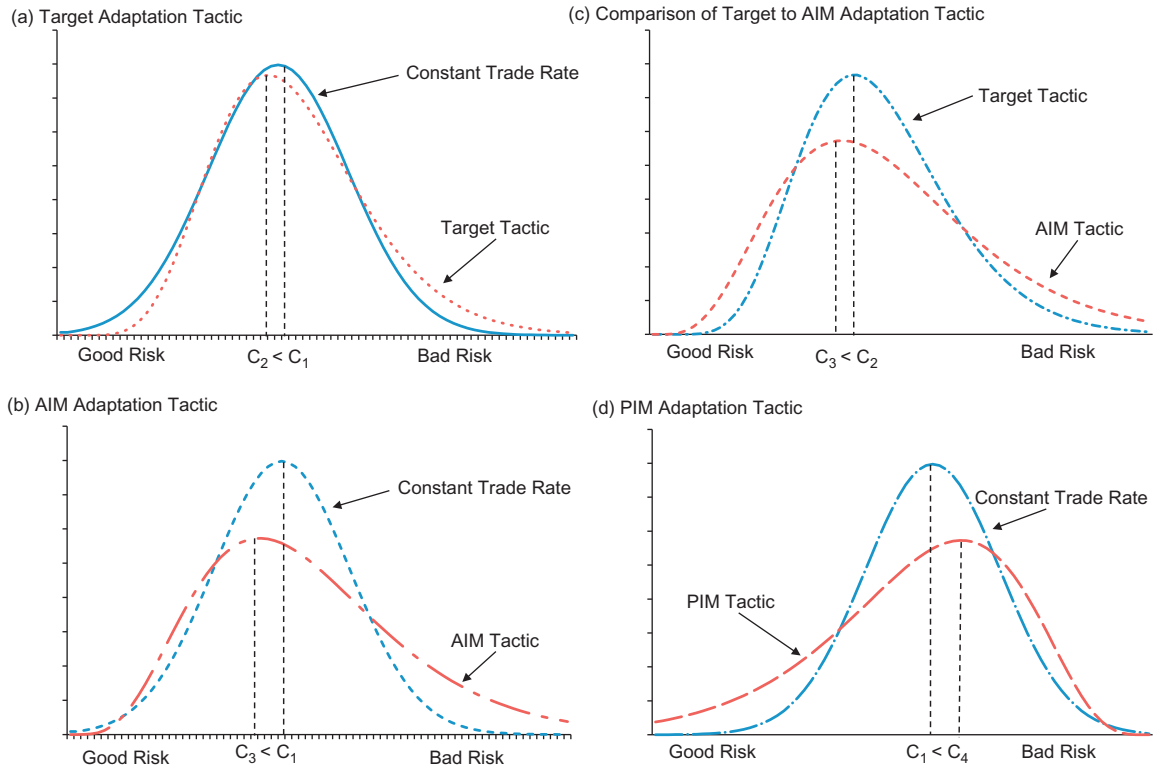




■ **Figure 8.3** Adaptation Tactics.

takes advantage of favorable market conditions. However, since the trading rate executes slower in times of adverse price movement it will expose the trader to higher market risk. This is shown in the cost distribution with a fatter tail at the right signifying higher probability of these higher costs. Additionally, in times of continued favorable price momentum over the life of the defined trading horizon this tactic will not have the opportunity to transact with the most favorable market prices since it is likely that the order will be completed before the most favorable prices occur in the market.

Aggressive-in-the-Money

The aggressive-in-the-money (AIM) adaptation tactic maximizes the probability that the actual cost will be less than the original cost from the best execution strategy. This optimization is equivalent to maximizing the Sharpe Ratio of the trade where performance (return) is measured as the difference between original cost and projected cost. This type of optimization has also been defined as maximizing the information ratio of